This new standard is effective for the Company's interim and annual reporting periods beginning January 1, 2020, and earlier adoption is permitted. The adoption of this amendment is not expected to have a material impact on the Company's consolidated financial statements or disclosures.

In December 2019, the FASB issued ASU No. 2019-12, *Accounting Standards Update (Topic 740): Simplifying the Accounting for Income Taxes*. The ASU removes certain exceptions for recognizing deferred taxes for investments, performing intraperiod allocation and calculating income taxes in interim periods. The ASU also adds guidance to reduce complexity in certain areas, including recognizing deferred taxes for goodwill and allocating taxes to members of a consolidated group. The ASU is effective for calendar year-end public entities on January 1, 2021. Entities may early adopt the ASU in any interim period for which financial statements have not yet been issued (or made available for issuance). The Company has not yet adopted the new guidance and is currently analyzing the tax impact, but does not anticipate any material impacts upon adoption.

Note 2. Impact of Recently Adopted Accounting Pronouncements

On January 1, 2019, the Company adopted Topic 842, which requires recognition of ROU assets and lease liabilities for most leases on the Company's Consolidated Balance Sheet. The Company adopted Topic 842 using a modified retrospective transition approach as of the effective date as permitted by the amendments in ASU 2018-11. As a result, the Company was not required to adjust its comparative periods' financial information for effects of the standard or make the new required lease disclosures for the periods before the date of adoption (i.e., January 1, 2019). The Company elected the package of practical expedients which allowed the Company not to reassess (1) whether existing or expired contracts, as of the adoption date, contain leases, (2) the lease classification for existing leases, and (3) whether existing initial direct costs meet the new definition. The Company also elected the practical expedient to not separate lease and non-lease components for its facility leases, and to not recognize ROU assets and liabilities for short-term leases.

The standard had an impact on the Company's Consolidated Balance Sheet but did not have a significant impact on its Consolidated Statement of Operations or Cash Flows. The impact on the Company's Consolidated Balance Sheet was the recognition of ROU assets and lease liabilities for operating leases.

The adoption of this new standard at January 1, 2019, resulted in the following changes:

- assets increased by $33.5 million, representing the recognition of ROU assets; and
- liabilities increased by $33.5 million, primarily representing the recognition of lease liabilities.

Note 3. Revenues and Cost of Revenue

Disaggregation of revenue

The following table provides information about disaggregated revenue by primary geographical markets:

	Year ended December 31,		
	2019	2018	2017
Primary geographical markets			
North America	93%	95%	96%
Others	7%	5%	4%
Total revenues	100%	100%	100%

The Company derived over 90%, and approximately 88% and 84% of subscription revenues from RingCentral Office product for the years ended December 31, 2019, 2018 and 2017, respectively.

Deferred revenue

During the year ended December 31, 2019, the Company recognized revenue of $88.3 million that was included in the corresponding deferred revenue balance at the beginning of the year.